CORE DOMAIN 3: INVESTING, STOCKS & BONDS

50 Essential Questions & Answers on Securities and Capital Markets

Q1. What is asset allocation?

Answer: The investment strategy of partitioning capital among different asset categories—like stocks, bonds, and cash—to balance risk and reward according to goals.

Q2. What is the difference between a bull market and a bear market?

Answer: A bull market is characterized by rising asset prices and investor optimism; a bear market is a prolonged period of falling prices (typically 20% or more from recent peaks) and pessimism.

Q3. What is a stock market index?

Answer: A statistical measure tracking the performance of a specific group of stocks, serving as a market benchmark (e.g., S&P 500, Dow Jones).

Q4. Explain the difference between growth investing and value investing.

Answer: Growth investing focuses on companies expected to grow at an above-average rate; value investing seeks undervalued stocks trading below their intrinsic worth.

Q5. What is a bond's coupon rate?

Answer: The fixed annual interest rate paid by the bond issuer to the bondholder, expressed as a percentage of the bond's face value.

Q6. What is the relationship between bond prices and interest rates?

Answer: They share an inverse relationship: when market interest rates rise, existing bond prices fall, and vice versa.

Q7. What is an Exchange-Traded Fund (ETF)?

Answer: An investment fund traded on public stock exchanges, holding a basket of underlying assets (like stocks or bonds) and tracking an index.

Q8. What is a mutual fund?

Answer: A pooled investment vehicle managed by a professional fund manager that issues shares to investors to buy a diversified portfolio of securities.

Q9. What is the difference between active and passive fund management?

Answer: Active management involves a manager making specific trades to beat an index; passive management tracks an index to mirror its performance at a lower cost.

Q10. Define market capitalization.

Answer: The total dollar value of a company's outstanding shares, calculated by multiplying total outstanding shares by the current market price per share.

Q11. What is a dividend yield?

Answer: A financial ratio showing how much a company pays out in dividends each year relative to its stock price, calculated as Annual Dividends per Share divided by Stock Price.

Q12. What is a P/E (Price-to-Earnings) ratio?

Answer: A valuation metric comparing a company's current share price to its per-share earnings, indicating how much investors pay per dollar of profit.

Q13. Explain systemic risk.

Answer: The inherent risk facing the entire market or asset class, which cannot be eliminated through diversification (also called market risk).

Q14. Explain unsystematic risk.

Answer: Company-specific or industry-specific risk that can be mitigated or eliminated through broad portfolio diversification.

Q15. What is an option contract?

Answer: A financial derivative giving the buyer the right, but not the obligation, to buy (Call) or sell (Put) an underlying asset at a specified price within a set window.

Q16. What is a call option?

Answer: An option contract giving the holder the right to buy an asset at a predetermined strike price before expiration.

Q17. What is a put option?

Answer: An option contract giving the holder the right to sell an asset at a predetermined strike price before expiration.

Q18. What does short selling a stock mean?

Answer: Borrowing shares of a stock to sell them immediately on the open market, hoping the price drops so you can buy them back cheaper, return them, and pocket the difference.

Q19. What is a margin call?

Answer: A broker's demand that an investor deposit additional cash or securities to bring an account up to the minimum maintenance margin required to sustain leveraged positions.

Q20. Define Yield to Maturity (YTM) for a bond.

Answer: The total estimated return an investor will receive if a bond is held until its final maturity date, accounting for coupons, purchase price, and face value.

Q21. What is liquidity in investment markets?

Answer: The ease and speed with which an asset can be bought or sold in the market without causing a drastic movement in its price.

Q22. What is volatility?

Answer: A statistical measure of the dispersion of returns for a given security or market index, often reflecting price risk fluctuations.

Q23. What is an Initial Public Offering (IPO)?

Answer: The process by which a private corporation issues shares to the public for the first time, transitioning into a publicly traded company.

Q24. What is a municipal bond?

Answer: A debt security issued by state, city, or local government entities to fund public projects, often offering tax-exempt interest income.

Q25. What is a corporate bond?

Answer: A debt security issued by a private or public corporation to raise capital for expansion, operational needs, or debt refinancing.

Q26. What is a Treasury bond (T-bond)?

Answer: A long-term, fixed-interest debt security issued by the federal government with a maturity profile exceeding 10 years, backed by full faith and credit.

Q27. What are junk bonds?

Answer: High-yield, high-risk bonds rated below investment grade by credit rating agencies, indicating elevated default risk.

Q28. What is a hedge fund?

Answer: An aggressively managed alternative portfolio utilizing advanced, high-risk strategies (leverage, shorting, derivatives) to generate absolute returns for accredited investors.

Q29. What is Real Estate Investment Trust (REIT)?

Answer: A company that owns, operates, or finances income-producing real estate, allowing retail investors to buy fractional real estate exposure on exchanges.

Q30. Explain modern portfolio theory (MPT).

Answer: An investment framework modeling how risk-averse investors can construct optimized portfolios to maximize expected return for a given level of market risk.

Q31. What is the efficient frontier?

Answer: The set of optimal portfolios that offer the highest expected return for a defined level of risk or the lowest risk for a given level of return.

Q32. What is dollar-cost averaging?

Answer: An investment strategy where you invest a fixed amount of money at regular intervals, automatically buying more shares when prices are low and fewer when high.

Q33. What is market liquidity risk?

Answer: The risk that an investor cannot liquidate a position quickly at a fair price because of a lack of buyers or active trading volume.

Q34. Define real rate of return.

Answer: The annual percentage return realized on an investment, adjusted for the eroding effects of inflation over that same window.

Q35. What is normal market return?

Answer: The nominal return on an investment or index before any adjustments for inflation, fees, or taxes.

Q36. What is a trailing P/E ratio?

Answer: A P/E ratio calculated using the actual reported earnings per share over the past consecutive 12 months.

Q37. What is a forward P/E ratio?

Answer: A P/E ratio calculated using forecasted or projected earnings per share over the upcoming 12 months.

Q38. What is a stop-loss order?

Answer: An automatic order placed with a broker to sell a security when it reaches a specific target price, designed to limit investor downside.

Q39. What is a limit order?

Answer: An order placed with a broker to buy or sell a security at a specific price or better, ensuring price execution control but not execution certainty.

Q40. What is a market order?

Answer: An order placed to buy or sell a security immediately at the best available current market price, prioritizing speed over exact price.

Q41. What does the VIX index measure?

Answer: The Chicago Board Options Exchange Volatility Index, which tracks market expectations of near-term volatility implied by S&P 500 options prices.

Q42. What is insider trading?

Answer: The illegal practice of trading a public company's stock based on material, non-public information, violating regulatory standards.

Q43. What is a stock split?

Answer: A corporate action increasing the number of outstanding shares by dividing existing shares, lowering the price per share without changing total market cap.

Q44. What is a reverse stock split?

Answer: A corporate action reducing outstanding shares to boost a low stock price, often to meet baseline stock exchange listing requirements.

Q45. Define duration in relation to bonds.

Answer: A measure of a bond's price sensitivity to changes in interest rates, expressed in years based on cash flow timings.

Q46. What is a blue-chip stock?

Answer: Stock in a well-established, financially sound, and historically stable corporation with a proven record of navigating economic cycles.

Q47. What is a penny stock?

Answer: A highly speculative, low-priced stock (typically under $5 per share) trading over-the-counter with low liquidity and high volatility.

Q48. What is arbitrage?

Answer: The simultaneous purchase and sale of an identical asset in different markets to exploit small price discrepancies for risk-free profit.

Q49. Explain the concept of alpha in investing.

Answer: A metric measuring an investment portfolio's excess return relative to the return of a benchmark market index.

Q50. What is capital preservation?

Answer: An investment strategy prioritizing the protection of core principal capital over maximizing returns, common for short horizons or risk-averse investors.

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